

Area Demarcation Policy

SME Division

(April 2024)

Proposed By

Name & Designation	Signature
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Reviewed By

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Approved By

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Background

Since inception of SME Division in IDLC Finance PLC., portfolio of SME loans experienced substantial growth in last 17 years. Now, IDLC Finance PLC. is also considered as one of the leading SME Financiers of the country. Considering market demand, the portfolio is expected to grow by manifold in coming years. In order to ensure sustainable and quality portfolio growth, there is no alternative other than quality financing and strong monitoring. Therefore, it is important to define areas of businesses for branches and sales forces, to ensure proper market feedback and information at the time of financing and also proper post disbursement monitoring.

Guidelines for Area Demarcation Policy

Core Area: Refers to areas with boundaries incorporated by distance, number of clients & existing portfolio size. Here, distance of business hubs are situated close to the branch, number of clients and portfolio size must be greater than nearby branches. In Core Areas, designated branches can offer all types of products to their existing & prospective customers. Other branches (Dhaka & Chattogram Metro) can penetrate in core area subject to secured products (Registered Mortgage, CVF, Lease, and fully Cash security backed Products) with positive consent from designated branch.

The concept of Core area can be illustrated by following example: Motijheel is the core area for Dilkusha Branch & New Market is the core area for Elephant Road Branch.

Grey Area: Refers to areas with boundaries incorporated by distance, number of clients & existing portfolio size. Here distance of business hubs from nearby multiple branches are quite close and sizable number of clients & portfolio size are booked by multiple branches. Designated Branches penetrating in grey areas can offer all types of products to their existing & prospective customers.

The concept of Grey areas can be illustrated by following example: Bangshal is the grey area for both Imamganj & Dilkusha Branches.

Financing outside Core & Grey Areas for Dhaka & Chattogram Metro Branches: Branches of these areas can book customers situated outside core & grey areas with positive consent from core branch & only offer secured products (Registered Mortgage, CVP, Lease, and fully backed by Cash security Products).

Financing Existing Customers, Concern of Spouse and Concerns of Family Members: Branches can refinance their existing customers (live contracts or refinancing within 3 months of closing of contracts) situated at Grey and outside Core & Grey Areas without positive feedback from designated branch.

Example: Mirpur Branch financed ABC Traders & their family members situated in Uttara which is the Core area for Tongi Branch. In that case, Mirpur branch will refinance ABC Traders without consent from Tongi Branch.

Approaching same client from Multiple Branches in Grey Area: In that case, earliest Lead approved branch will be eligible for booking the client considering other policies of area demarcation policy are compiled.

Factory Distance for Branches of Dhaka & Chattogram Metro: Corporate office or main sales center must be situated within core or grey area. Factory location should not be more than 100 km radius from the applying Branch. Furthermore, factory location should not cross Jamuna River (Up to Tangail/Gazipur/Mymensingh), Padma & Meghna River (Up to Munshiganj/Cumilla) for Branches of Greater Dhaka and factory location should not cross Miresharai for branches of Chattogram. Branches can offer all products except unsecured to their prospective & existing customers for distantly located factories, subject to positive feedback from the designated branch where the majority of investment is situated.

Provision for Policy Deviation: Policy deviation is highly discouraged. However, exceptional deviation of any policy related issues need to be approved by Head of SME.

Summary of Policy Checklist

Sl	Category of Area	Positive Feedback from Designated Branch	Secured Product (Registered Mortgage, CWF, Lease, Fully Cash Security Backed Products)	Partially Secured/Sachal Product	Unsecured Product
1	Core Area	N/A	√	√	√
2	Grey Area	N/A	√	√	√
3	Financing Outside Core & Grey *Dhaka Metro	√	√	X	X
4	Financing Outside Core & Grey for Areas other than *Dhaka & Chattogram Metro	X	X	X	X
5	Financing Existing Customer, Concern of Spouse and Concerns of Family Members situated at Grey and outside Core & Grey	N/A	√	√	√
6	Corporate Office or Main Sales Center Situated in Core/Grey Area But factories Situated outside Core & Grey Area (100 KM Radius)	√	√	√	X

Mapping of Area Demarcation Policy

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Zone	Branch	Core Area
Dhaka	Dilkusha	Grey Area
		Postgola, Jurain, Nawabpur, Demra, Khilgaon, Malibag, Mouchak, Eskaton, Moghbazar, Dholaikhal, Chittagong Road, Pagla, Sabujbag, Shahjahanpur, Rampura, Banasree, Signboard, Matuail, Jatrabari, Bangshal, Islampur
	Imamganj	Postgola, Jurain, Nawabpur, Islampur, Suritola, Dholaikhal, Kamrangirchor, Badamtoli, Hazaribag, Jatrabari, Bangshal,
	Keraniganj	Islampur, Suritola, Kamrangirchor, Badamtoli
	Narayanganj	Araihazar, Chittagong Road, Pagla, Signboard, Demra, Matuail, Madanpur, Gazaria (Up to Meghna Bridge).
	Elephant Road	Mouchak, Eskaton, Moghbazar, Farmgate, Kamrangirchor, Adabor, Hazaribag, Shymoli
	Gulshan	Demra, Khilgaon, Malibag, Banasree, Rampura, Mouchak, Eskaton, Moghbazar, Farmgate, Khilkhet, Kochukhet, Sabujbag, Shahjahanpur,
	Mirpur	Hemayetpur, Kochukhet, Adabor, Shymoli
	Savar	Ashulia, Hemayetpur, Chondra,

Mapping of Area Demarcation Policy			
Zone	Branch	Core Area	Grey Area
Gazipur	Tongi	Tongi, Airport, Uttara, Dakshin Khan, Uttarkhan, Mirebazar	Pubail, Khilkhet, Ashulia, Boardbazar, Gazipura,
	Gazipur	Gazipur, Mawna, Konabari, Kaliakoir, Tangail, Kashimpur, Kapasia, Sreepur, Joydevpur, Bhaluka (Up to Seed Store)	Pubail, Chondra, Boardbazar, Gazipura,
	Mymensingh	Mymensingh, Netrokona, Sherpur, Jamalpur, Bhaluka	N/A
Chattogram	Agrabad	Potenga, EPZ, Bandar, Karnofully Potiya, Anowara, Bashkhali, Satkania, Chandanaish Lohagara	Akborshah, Kotowali, Sadarghat, Doublemooring, Pachlaish, Pahartoli, Halishohor Cox's Bazar
	Nandankanon	Baizid Bostami, Chowkbazar, Bakolia, Khulshi, Chadgaon Hathazari, Fotikchori, Raozan, Rangunia	Akborshah, Kotowali, Sadarghat, Doublemooring, Pachlaish, Pahartoli, Halishohor Cox's Bazar
East Bengal	Cumilla	Cumilla, B. Baria, Ashuganj	Chadpur,
	Chowmuhan	Noakhali, Feni, Laxmipur,	Mirersarai, Chadpur,
	Sylhet	Sylhet, Sunamganj	Moulvibazar,
	Hobiganj	Hobiganj, Sreemangal, Madhabpur	Moulvibazar,
	Narsingdi	Narsingdi, Kishoreganj, Ghorashal, Bhairab	Madhabdi
	Bhulta	Bhulta, Rupganj	Araihazar, Madhabdi, Madanpur, Gazaria (Up to Meghna Bridge)
South Bengal	Jashore	Jashore, Satkhira, Magura, Jhainaidah, Narail	N/A
	Khulna	Khulna, Bagerhat, Gopalganj	N/A
	Kushtia	Kushtia, Chuadanga, Meherpur	N/A
	Faridpur	Faridpur, Rajbari, Madaripur, Shariatpur	N/A
	Barishal	Barishal, Patukhali, Bhola, Jhalkathi, Pirojpur, Borguna	N/A

North Bengal	Bogura	Bogura, Gaibandha, Naogaon, Sirajganj, Joypurhat	N/A
	Natore	Natore, Pabna	N/A
	Rajshahi	Rajshahi, Chapainawabganj	N/A
	Rangpur	Rangpur, Lalmonirhat, Nilphamari, Kurigram	N/A
	Dinajpur	Dinajpur, Thakurgaon, Panchgarh	N/A